

Counterparty Freeze List + Funding-Line Status

Status: Critical - Board three-hour liquidity update required

18 September 2008

Crisis desk note

The board requires a three-hour liquidity update, including usable funding lines, executable assets, and client communication points.

1. Counterparty Status

Counterparty	Status	Impact
Landon Brothers	Failed / frozen	Repo and derivative disruption
Boreal Legacy Vehicle	Unresolved	Illiquid warehouse exposure
Major Protection Seller	Collateral dispute	Protection uncertain
Emergency Liquidity Facility	Policy support possible	Timing uncertain



Market Effect

Dealer balance sheets pulled back; indicative quotes are no longer reliable for several complex credit positions.



Immediate Risk

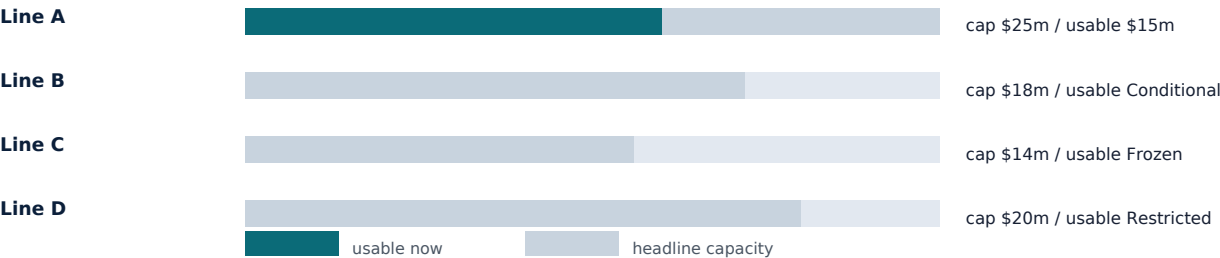
Policy support, model marks, and indicative quotes are not the same as usable liquidity today.

2. Funding Lines

Line	Capacity	Usable now	Status
Line A	\$25m	\$15m	Confirmed
Line B	\$18m	Conditional	Extra collateral required
Line C	\$14m	\$0	Frozen pending valuation
Line D	\$20m	Restricted	Available only against T-bills / IG bonds

Usable Funding vs Headline Capacity

Capacity is not equal to cash available today



Counterparty Freeze List + Funding-Line Status

Liquidity runway and quote reliability review

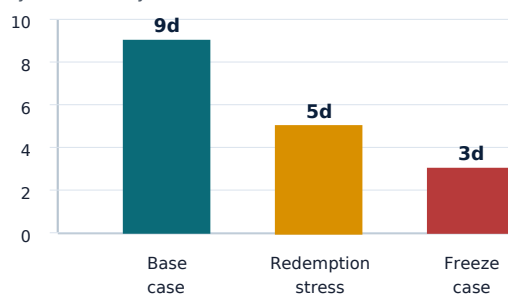
18 September 2008

3. Liquidity Runway

Scenario	Runway	Readout
Base liquidity case	9 days	Manageable only if funding remains confirmed and client demand stabilizes.
Redemption stress	5 days	Thin runway; execution discipline and client communication become critical.
Counterparty freeze case	3 days	Survival horizon depends on executable assets, confirmed lines, and credible updates.

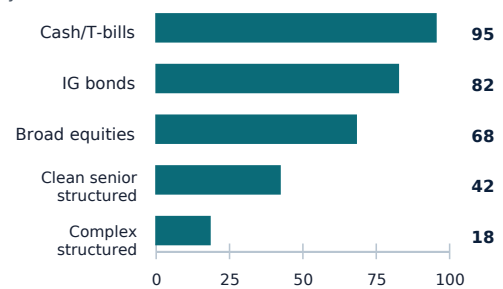
Liquidity Runway

Days available by stress case



Quote Reliability

Reliability score / 100



4. Quote Reliability

Asset	Quote reliability	Desk interpretation
Cash/T-bills	95 / 100	Immediately usable; highest reliability under stress.
IG bonds	82 / 100	Still executable, subject to spread volatility.
Broad equities	68 / 100	Executable but price moves quickly in stressed tape.
Clean senior structured	42 / 100	Negotiated execution; quote quality highly size-sensitive.
Complex structured	18 / 100	No reliable block bid; model price should not be treated as cash.

Counterparty Freeze List + Funding-Line Status

Emergency thresholds and board communication pack

18 September 2008

5. Emergency Thresholds

Liquidity runway < 5 days Escalate to board; preserve cash and confirm funding access.	Quote reliability < 50 / 100 Separate model marks from executable bids in client materials.	Client cash demand Rising Prepare clear runway message and redemption-response points.	Funding line status Frozen / restricted Treat headline capacity as unavailable until documented.
---	--	--	--

6. Board Update Checklist

Workstream	Required update within three hours	Evidence source
Usable liquidity	Separate cash and executable assets from headline marks and frozen lines.	Funding lines + liquidity runway
Executable assets	Identify assets with reliable bids versus negotiated or no-bid positions.	Quote reliability table
Counterparty status	Confirm frozen, conditional, and disputed relationships before committing cash plans.	Counterparty freeze list
Client communication	Prepare concise talking points on liquidity runway, redemption handling, and valuation discipline.	Crisis desk note

 Confirmed Use Line A only after documented availability and eligibility check.	 Frozen Do not treat Line C or disputed counterparties as liquidity sources.
 Quote discipline Show model marks separately from executable bid levels.	 Runway focus Update the board on the 9d / 5d / 3d liquidity cases.



Crisis Desk Conclusion

Policy support, modelmarks, and indicative quotes are not the same as usable liquidity. The fund needs survival discipline, documented funding access, executable-asset prioritization, and credible client communication.